

INTERNAL LEGAL RESEARCH NOTE

Subject: Enforceability of Clause 22 (delay damages) under Section 74, Indian Contract Act, 1872

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Under Section 74 of the Indian Contract Act, 1872, a stipulated sum is recoverable as reasonable compensation not exceeding the amount named, irrespective of proof of actual loss, per *ONGC v. Saw Pipes* (2003) 5 SCC 705. A capped, graduated damages clause tied to the value of delayed work, as in Clause 22, is more likely to be treated as a genuine pre-estimate than an *in terrorem* penalty. Recommend leading evidence of at least approximate loss to strengthen the claim in the alternative.

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